

PARDEE RESOURCES COMPANY

1ST QUARTER 2024



Responsible Development of Natural Resource Properties
Integrity Creativity Excellence Respect Teamwork Family

To Our Shareholders:

During Q1 2024, Pardee Resources Company earned \$4.81 per share, a 13.3% decline versus the \$5.55 per share earned during Q1 2023. EBITDA during the quarter was \$7.77 per share, 16.1% below EBITDA of \$9.26 per share earned in Q1 2023. Several external challenges adversely influenced our results. Higher mortgage rates continued to weigh on the home construction market, negatively impacting the demand for hardwood harvested from our properties. Natural gas spot prices reached record lows during the quarter due to the combination of weak demand and strong production. Metallurgical coal prices declined as well, yet a gain in coal production from our properties resulted in a gain in royalties. Finally, revenues produced from our renewable energy assets declined 45% versus Q1 2023, reflecting the sale of a portion of the Company's solar assets which closed in mid-2023.

Metallurgical Coal Division: Since peaking at record-high levels in mid-2022, metallurgical coal prices have steadily corrected downward to more sustainable levels. The full impact of the correction has been mitigated by high-priced contracts held by most producers, which are likely to expire over the next several months. During Q1 2024, Pardee's realized royalty per ton was 8.4% lower than in 2023, however, this was more than offset by a 21% increase in production year-over-year, helping Division revenues reach \$5.5 million during the quarter, 15.6% higher than 2023 levels. The first of eight exploration drill holes planned for 2024 successfully intercepted two separate metallurgical coal seams of mineable thickness, an encouraging early result in our effort to define additional mineable reserves on our property.

Oil & Gas Division: Weak demand due to mild winter weather, together with record-high U.S. natural gas production in late 2023, caused natural gas storage levels to rise to 39% above their five-year average, which in turn pushed Henry Hub natural gas spot market prices down to the record-low range. A reduction in active drilling rigs, together with continued growth in LNG exports, are helping to elevate natural gas prices in the forward 2024 spot market. During the quarter, prices in the Appalachian Basin, where our properties are located, averaged \$1.71 per MMBtu, 38% lower than Q1 2023 levels. Due to the significantly lower prices, and a 5.7% decline in production, Division revenues declined 36.6% year-over-year, from \$2.1 million during Q1 2023, to \$1.3 million in Q1 2024.

Timber & Surface Division: Over the last several months, the rise in mortgage rates, together with stubbornly high home prices, resulted in a drop in overall housing affordability throughout the U.S. To reduce costs, home builders have increasingly turned to lower quality alternatives to hardwood products, further exacerbating an already weak market for hardwood products. In February, the market pressure forced the largest West Virginia hardwood producer to terminate all operations while under

financial duress. Hardwood production from Pardee's properties during the quarter dropped 25.1% versus 2023 levels. Thankfully, a move to higher quality stands resulted in year-over-year price increases for wood harvested from our properties. Our real estate sales delivered net gains of \$301,000, 18% lower than in Q1 2023. Overall, Division revenues totaled \$1.7 million during the quarter, 3.8% lower than during 2023.

Alternative Energy Division: During 2023, U.S. solar developers overcame supply chain issues to install a record 31 GW of solar energy capacity, making solar the fastest growing power source in the U.S., representing half of all utility-scale generating capacity additions through Q3 2023. In mid-2023, we sold most of our New Jersey-based solar assets due to an increase in operating expenses, leaving the Company with nine MW of operating capacity located mainly in California and Arizona. During the quarter, Division revenues were 44.5% below Q1 2023 levels, reflecting the loss of both electricity and solar renewable energy credit (SREC) sales associated with the divested New Jersey assets. The Company continues to search for new, tax-advantaged renewable energy investments which meet our risk and return criteria.

Agriculture Division: With the growing season in southern California underway, favorable weather conditions thus far point to strong harvest levels in late summer and early fall. Similarly, growing conditions have been favorable in Portugal, where our almond trees have benefited from successful spring pollination and bloom periods. While strong harvest yields are a positive for growers, overly abundant supply can lead to lower market prices.

Summary: During the quarter, the Company repurchased 4,873 shares of its common stock for a total of \$1.3 million, ending the period with a cash balance of \$34 million and limited debt. Thanks to our strong cash flow, diversified asset portfolio, and healthy balance sheet, the Company is well-positioned to achieve our dual goals of returning capital to our shareholders and investing for future growth.

*Please see page 6 for an update of legal matters.

Sincerely yours,



Chairman
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Pardee Resources Company
Unaudited Consolidated Balance Sheets

(Dollars in Thousands)

	<u>3/31/2024</u>	<u>12/31/2023</u>
ASSETS		
Current Assets:		
Cash & Cash Equivalents	\$34,043	\$31,760
Accounts Receivable	7,141	7,309
Other	<u>996</u>	<u>893</u>
	<u>42,180</u>	<u>39,962</u>
Fixed Assets: (Net of Depl. & Deprec.)		
Land & Right of Ways	27,581	27,632
Mineral Rights - Coal	32,722	32,774
Timber	8,832	8,948
Solar Equipment	10,903	11,094
Building & Structures	1,046	1,066
Agriculture Development	8,866	9,000
Equipment	478	506
Automobiles	216	236
Other Fixed Assets	<u>1,419</u>	<u>1,390</u>
	<u>92,063</u>	<u>92,646</u>
Investments & Other		
Oil & Gas Investments (Net of Depl. & Deprec.)	31,943	32,556
Right of Use Asset	3,173	3,187
Other	<u>135</u>	<u>142</u>
Total Assets	<u><u>\$169,494</u></u>	<u><u>\$168,493</u></u>
LIABILITIES & EQUITY		
Current Liabilities:		
Accounts Payable	\$1,943	\$2,943
Deferred Revenues	508	508
Taxes Payable	2,572	1,516
Current Portion of Note Payable (non-recourse)	200	200
Current Portion Lease Liability	<u>290</u>	<u>290</u>
	5,513	5,457
Noncurrent Liabilities:		
Non-recourse Debt	826	826
Supplemental Pension Plan	633	608
Deferred Taxes	14,783	14,783
Deferred Revenue, Net of Current Portion	343	410
Asset Retirement Obligation	20	20
Lease Liability	<u>3,319</u>	<u>3,333</u>
Total Liabilities	<u>25,437</u>	<u>25,437</u>
Shareholder's Equity:		
Common Stock	775	775
Additional Paid in Capital	12,143	12,854
Accumulated Other Comprehensive Income	(41)	(41)
Retained Earnings	154,289	152,324
Treasury Stock	<u>(26,424)</u>	<u>(26,127)</u>
	140,742	139,785
Noncontrolling Interest	<u>3,315</u>	<u>3,271</u>
Total Equity	<u>144,057</u>	<u>143,056</u>
Total Liabilities & Equity	<u><u>\$169,494</u></u>	<u><u>\$168,493</u></u>

Pardee Resources Company
Unaudited Consolidated Income Statements

(Dollars in Thousands)

	Three Months Ended <u>03/31/24</u>	Three Months Ended <u>03/31/23</u>
Divisional Revenues:		
Metallurgical Coal	\$5,493	\$4,749
Oil & Gas	1,299	2,049
Timber & Surface	1,723	1,791
Alternative Energy	436	786
Agriculture	<u>0</u>	<u>1</u>
	<u>8,951</u>	<u>9,376</u>
Divisional Expenses:		
Metallurgical Coal	980	665
Oil & Gas	1,092	999
Timber & Surface	840	791
Alternative Energy	445	611
Agriculture	<u>209</u>	<u>206</u>
	<u>3,566</u>	<u>3,272</u>
Net Operating Income	\$5,385	\$6,104
Interest and Other Income	361	114
Gain on Equity Investment	0	621
General and Administrative	(1,599)	(1,876)
Interest Expense	<u>(16)</u>	<u>(6)</u>
Income Before Taxes	\$4,131	\$4,957
Taxes	<u>1,056</u>	<u>1,353</u>
NET INCOME	\$3,075	\$3,604
Net Loss - Noncontrolling Interest	<u>56</u>	<u>50</u>
Net Income - Pardee Resources Shareholders	<u><u>\$3,131</u></u>	<u><u>\$3,654</u></u>
EARNINGS PER SHARE	<u><u>\$4.81</u></u>	<u><u>\$5.55</u></u>
EBITDA PER SHARE	<u><u>\$7.77</u></u>	<u><u>\$9.26</u></u>
Weighted Average Number of Common Shares Outstanding	<u><u>650,851</u></u>	<u><u>658,081</u></u>

Pardee Resources Company
Comparison Data Sheet

Three Months Ended <u>03/31/24</u>	Three Months Ended <u>03/31/23</u>	% <u>Change</u>
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Metallurgical Coal

Revenues - Millions	\$5.49	\$4.75	15.6%
Coal Tons Sold - Millions	0.68	0.56	21.4%
Royalty/Coal Ton	\$7.18	\$7.84	-8.4%

Oil & Gas

Revenues - Millions	\$1.30	\$2.05	-36.6%
Production - bcfe	0.50	0.53	-5.7%
Price/mcfe	\$2.33	\$3.72	-37.4%

Timber & Surface

Revenues - Millions	\$1.72	\$1.79	-3.9%
Production - Board feet - Millions	3.47	4.63	-25.1%
Stumpage Price/Thousand Bd. Ft.	\$261.73	\$225.25	16.2%
Production - Softwood Tons - Thousands	19.44	12.70	53.1%
Stumpage Price/Ton Softwood	\$14.74	\$12.32	19.6%
Production - Hardwood Tons - Thousands	10.89	9.50	14.6%
Stumpage Price/Ton Hardwood	\$2.61	\$2.68	-2.6%

Alternative Energy

Revenues - Millions	\$0.436	\$0.786	-44.5%
Production - k/w - Millions	2.35	2.93	-19.8%
Electric Sales Price per k/w	\$0.122	\$0.117	4.3%
Production - SREC Units	2,461	3,028	-18.7%
SREC Price/Credit	\$51	\$71	-28.2%

NET DIVISIONAL OPERATING INCOME:

(Dollars in Millions)

Metallurgical Coal	\$4.51	\$4.08	10.5%
Oil & Gas	0.21	1.05	-80.0%
Timber & Surface	0.88	1.00	-12.0%
Alternative Energy	(0.01)	0.18	-105.6%
Agriculture	(0.21)	(0.21)	0.0%

Net Operating Income	<u>\$5.38</u>	<u>\$6.10</u>	-11.8%
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EBITDA - Millions	<u>\$5.06</u>	<u>\$6.09</u>	-16.9%
(earnings before interest, taxes, depreciation and amortization)			

DC Solar Solutions, Inc.

In December 2015, the Company invested \$7.7 million in a limited liability company (Fund) that purchased mobile solar generators (MSGs) from DC Solar Solutions, Inc. (DC Solar) and, in turn, leased the MSGs to DC Solar Distribution, Inc., an affiliate of DC Solar. In early 2019, the Company learned through public sources that, in December 2018, the U.S. government had seized substantially all of the assets of DC Solar and its affiliates. In February 2019, DC Solar and its affiliates, including our lessee, filed for Chapter 11 bankruptcy protection. In February 2019, an affidavit from a Federal Bureau of Investigation special agent was filed in the bankruptcy proceeding asserting that DC Solar was operating a fraudulent “Ponzi-like scheme” and that a majority of the MSGs sold to investors and a majority of the lease revenues claimed to have been received by DC Solar Distribution, Inc. may not have existed. The Chapter 11 proceedings were subsequently converted to Chapter 7 liquidations. Due to the bankruptcy proceedings being converted to Chapter 7, the Company evaluated its remaining equity investment value of \$485,332 and recorded an impairment charge in that amount as of December 31, 2018.

In 2022, the Company received a draft “Notice of Proposed Adjustment” (NOPA) from the IRS related to their exam of the Company’s 2018 tax return. The NOPA included a \$1.4 million tax assessment associated with the investment tax credits the Company utilized in tax years 2018 and 2019, plus interest. According to the NOPA, the IRS is challenging the values the Company had initially assigned to the MSGs and whether they had all been effectively placed in service, and consequently whether the amount of the associated investment tax credits were appropriate. The Company is considering an appeal of these conclusions when the IRS finalizes the NOPA, but while the process is pending, established a reserve for the full \$1.4 million as of December 31, 2022. Due to various uncertainties, the Company is currently unable to determine the final financial impact arising from this complex situation; however, this impact could be as much as \$1.5 million, which includes the full amount of the IRS tax assessment plus interest.

Forward-Looking Statement

Certain of the statements contained herein (other than statements of historical facts) are forward-looking statements. Such forward-looking statements include estimates and assumptions related to the Company’s growth, reserves, the state of future markets for natural resource, renewable and agricultural products, and the ability of the Company to sell its natural resource, renewable and agricultural products on a profitable basis. These forward-looking statements are subject to change and uncertainty which are, in many instances, beyond the Company’s control and have been made based upon management’s expectations and beliefs concerning future developments and their potential effect on the Company. There can be no assurance that future developments will be in accordance with management’s expectations or that the effect of future developments on the Company will be those anticipated by management. Actual financial results, including revenue growth and earnings results, could differ materially from those anticipated by the Company depending on the outcome of certain factors, which may include, among others, changes in the wholesale prices for timber, oil, natural gas, coal, renewable and agricultural products; increases in property acquisition costs; adverse weather conditions; litigation; failures of our lessees to mine, drill and harvest at rates we currently anticipate; differences between actual reserves and estimated amounts; legislative changes or government regulations which make it more difficult or expensive to sell, extract or harvest our natural resource, renewable and agricultural products or impose greater financial burdens on the users of such products; unanticipated costs for remediation and reclamation; the scope of the fraud alleged to have been conducted by DC Solar; and other risks and uncertainties.

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